

FORM TP 2010221



TEST CODE **02133020**

MAY/JUNE 2010

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

12 MAY 2010 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. (a) Define the term 'mission statement' and outline **THREE** reasons why a mission statement is important to a business. [8 marks]
- (b) (i) Identify **FOUR** criteria that can be used to measure the size of a business. [4 marks]
- (ii) Evaluate the effectiveness of **THREE** of the criteria identified in (b) (i) above [13 marks]

Total 25 marks

2. A firm is contemplating whether to include social responsibility as one of its main objectives.
- (a) Discuss **THREE main** objectives of a typical business organization. [13 marks]
- (b) Define the term 'social responsibility', giving **TWO** examples of how a firm can display social responsibility. [6 marks]
- (c) Outline **THREE** reasons why it is important for a firm to practise 'social responsibility'. [6 marks]

Total 25 marks

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. John, the manager of KPJ Co. Ltd, has been described by his workers as a participative leader.
- (a) Define the term 'participative leadership'. [3 marks]
- (b) Discuss **TWO** advantages and **TWO** disadvantages of the participative style of leadership. [16 marks]
- (c) Outline **THREE** situations in which the participative style of leadership would be useful to KPJ Co. Ltd. [6 marks]

Total 25 marks

4. (a) (i) Define the term 'training'. [2 marks]
- (ii) State THREE reasons why training is important to an organization. [6 marks]
- (b) Evaluate TWO conditions under which EACH of the following types of training programmes is BEST suited:
- (i) Internally based
- (ii) Externally based [17 marks]

Total 25 marks

SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. XYZ Co. Ltd is considering investing in one of three projects, A, B or C. The initial cost and cash flows of each project are shown below.

The company has the option of borrowing the amount to cover the cost of either project at 11% interest per annum.

Cash Flow	Project A	Project B	Project C
Initial Cost	\$40 000	\$28 000	\$30 400
Year 1	12 000	10 000	8 100
Year 2	12 200	10 100	8 600
Year 3	11 800	9 600	12 000
Year 4	14 200	9 900	13 100
Year 5	14 380	10 100	15 000

- (a) Compute the cumulative cash flow for EACH project. [13 marks]
- (b) Compute the payback period, in years, to two decimal places, for EACH project. [6 marks]
- (c) Indicate, giving a reason, which project the company should accept. [3 marks]
- (d) Assume the IRR (Internal Rate of Return) of the projects are as follows:
- | | | |
|---|---|-------|
| A | – | 11.5% |
| B | – | 8% |
| C | – | 15% |

Based on the IRR, indicate, giving a reason, which project the company should accept. [3 marks]

Total 25 marks

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6. The following is the cash flow statement for Nigel Enterprises for the year ended December 21, 2008. Study the statement and answer the questions that follow.

Nigel Enterprises Cash Flow Statement For the year ended December 21, 2008		
	(US \$ millions)	(US \$ millions)
<u>Net cash inflow from operating activities</u>		6
<u>Returns on investment and servicing of finance</u>		
Interest received	2	
Interest paid	(4)	
Dividends paid	(4)	
<u>Net cash outflow from returns on investments and servicing of finance</u>		(6)
<u>Taxation</u>		
Inland Revenue tax paid	(4)	
<u>Investing activities</u>		
Purchases of tangible fixed assets	(4)	
Purchases of subsidiary undertakings (net of cash and cash equivalents acquired)	(18)	
Sale of plant and machinery	4	
Net cash outflow from investing activities		(18)
Net cash outflow before financing		(22)
<u>Financing</u>		
New secured loan repayable in 2009	17	
Repayment of amount borrowed	(2)	
Net cash inflow from financing		<u>15</u>
Decrease in cash and cash equivalents		7

- (a) (i) Explain what is meant by the term 'cash flow statement'. [3 marks]
- (ii) Identify TWO financial statements, other than the cash flow statement, that are used by firms. [2 marks]
- (b) Analyse the cash flow situation of Nigel Enterprises under EACH of the following headings:
- (i) Net cash inflow or outflow from operating activities
 - (ii) Returns on investment and servicing of finance
 - (iii) Net cash outflow from investing activities
 - (iv) Increase or decrease in cash equivalents
 - (v) Financing

[20 marks]

Total 25 marks

END OF TEST